EMA GARP Fund, LP. --- Report for the Fourth Quarter and Year ended December 31, 2025

KEY TAKEAWAYS

- **What a Year for Gold and Silver**
  - Central Banks jumped on the Bullion accumulation train, and so did many western investors who finally followed the BRICS nations.
- **Federal Reserve Watch: Trapped**
  - Fed stops QT and promptly installs $40 Billion / month of QE and Treasury purchases.
- **Trump Watch: Run It Hot!**
  - Uber Dove Fed Chair is on deck. Big Beautiful Bill and Defense spending stimulus projected now to increase deficits by hundreds of billions of dollars.
- **Monetary Chaos: Secular Trend Change**
  - 10 Year US Treasury Yields are spiking higher breaking a 45-year trend of lower rates.
  - Markets can smell the inflation.
- **Broader Markets & Leverage**
  - Stock market valuations are stretched and the speculation and leverage are Extreme!
- **Gold**
  - The ultimate form of money as it is geologically constrained and cannot be debased
  - Investors have NOT missed this bull market; we are still early. Historical norms suggest gold could achieve $8,000-$10,000 an ounce over the next few years.
- **Total Global Asset Values by Category**
  - Gold, Silver and Bitcoin are only around 2% of global financial assets.
  - There is a lot of capital that needs to migrate into sound money assets.
- **Hi Ho Silver!**
  - Physical demand for silver is outstripping supply massively. Silver prices are skyrocketing as prices are being set by physical delivery markets (Asia) and no longer the paper markets of New York (COMEX) or London (LBMA)
  - We are just getting started. The Silver Miners have a long way to catch up given their profit margin outlook is far greater than Wall Street understands.
- **Gold and Silver Miners**
  - Precious Metal Miners remain cheap in comparison to the bullion, but also to the S&P 500.
- **Bitcoin**
  - It is digital gold. It's the scarcest asset in the world. Deleveraging has hurt it in the short run, but in the medium term it will join Gold as a key sound money asset

RESULTS SUMMARY

This is the EMA GARP Fund L.P. report for the fourth quarter and year ended December 31, 2025. For the month of October, the Fund decreased in value by 0.81%. In November, the Fund increased by 8.24%. In December, the Fund increased in value by 10.49%. For the quarter, the Fund value increased by 18.62%. For the full year the Fund was up 174.48%

Quarterly	Return*	Cumulative
Q4 2025	18.62%	174.5%
Q3 2025	48.85%	131.4%
Q2 2025	28.76%	55.5%
Q1 2025	20.73%	20.7%

Monthly	Return*	Cumulative
December	10.49%	174.5%
November	8.24%	148.4%
October	-0.81%	129.5%

Annual	Return**	Since Inception
2025	174.5%	234.1%
2024	19.2%	59.6%
2023	-3.9%	40.4%
2022	-40.7%	46.1%
2021	-20.4%	146.3%
2020	121.8%	212.1%
2019	97.9%	40.7%
2018	-31.8%	-28.9%
2017	-7.8%	4.3%
2016	75.0%	13.2%
2015	-8.0%	-35.3%
2014	-26.8%	-29.7%
2013	-50.8%	-4.0%
2012	-7.9%	93.3%
2011	-32.2%	110.0%
2010	47.1%	209.5%
2009	33.2%	110.4%
2008	-5.8%	58.0%
2007	40.5%	67.9%

* Net of fees, incentive allocation charged in December if 10% hurdle is reached.
** Net of fees and incentive allocations, audited.

RESULTS COMPARISON

In the fourth quarter of 2025, the EMA GARP Fund increased in value by 18.6%. For the full year ended December 31, the Fund was up 174.5%.

The schedule below shows the Fund's performance compared to the general stock market indices, and the gold stock indices for the fourth quarter and year ended December, 2025.

Quarterly and Full-Year 2025 Results Comparison

	Q1	Q2	Q3	Q4	YTD
EMA Garp Fund, LP	20.7%	28.8%	48.9%	18.6%	174.5%
DJIA	-0.9%	5.5%	5.7%	4.0%	14.9%
S&P 500 Index	-4.3%	10.9%	8.1%	2.7%	17.9%
NASDAQ Composite	-10.3%	18.0%	11.4%	2.7%	21.2%
XAU/ Gold/ Silver stocks	29.7%	16.5%	44.9%	15.5%	152.8%
HUI Gold Stocks Index	31.3%	16.4%	46.5%	15.0%	157.5%
GDX Gold Majors ETF	35.6%	13.3%	46.8%	13.1%	154.7%
GDXJ Gold Juniors ETF	33.8%	18.2%	46.5%	17.4%	172.0%
GOEX Gold Explorers ETF	29.1%	19.9%	49.1%	21.1%	179.4%
SIL Silver Miners ETF	24.2%	22.2%	48.8%	17.8%	166.0%
Gold Bullion	19.0%	5.7%	16.8%	11.9%	64.6%
Silver Bullion	17.9%	5.9%	29.2%	53.6%	147.9%
Crude Oil	0.1%	-8.9%	-4.2%	-7.9%	-19.9%
Goldman Sachs Commodity Index (GSCI)	-0.1%	-3.2%	4.2%	0.4%	5.9%
Wisdom Tree Commodity Index (GCC)	4.1%	1.5%	7.5%	5.6%	20.0%
US Government 10 Year Yield	4.21%	4.23%	4.15%	4.17%	
US Dollar Index	104.21	96.88	97.78	98.32	
Bitcoin	-12.1%	30.5%	6.5%	-23.5%	-6.5%

QUARTERLY OVERVIEW

The fourth quarter was a great quarter as gold and silver bullion increased 12% and 54%, respectively. Interestingly, while gold and silver miners were also up in Q4, the miners still have not taken off as gold miners were only up "in-line" with the gold bullion move and the silver miners were up only one third of the silver bullion price. Typically, the miners leverage the underlying metal price increases, often by 2-3x percentage wise. While our Fund's performance was good, what excites us is these miners should outperform going forward as markets get used to seeing many "beat and raise" earnings and cash flow announcements in the coming quarters given the bullion price increase. The skepticism is a good thing because the market does not believe the higher metals prices will last. Classic climbing a wall of worry behavior. In our opinion, what is occurring is that investors do not believe that these higher metals prices are sustainable. When we combine that with the fact that all the stocks have gone vertical in the past year, investors are afraid to chase the miners or to buy them. As we will show in this letter, we believe the metals are going much higher and that at some point the miners will reprice and catch up.

Silver was the big story as it was up 54% in Q4. We've discussed silver a lot over the past few years and pointed out the supply demand mismatch. We believed it would eventually matter. Well, finally in late 2025, the world realized there are global shortages of silver and the paper market for silver (futures contracts) has been faced with unprecedented demands for delivery. More on that later.

The most notable thing about 2025 is how the precious metals miners stock performance absolutely crushed the S&P and the Nasdaq which were up 18% and 21%, respectively. A very good year by most measures, but pitiful when compared to the gold and silver mining indices which were all up 150%+. Investors who are aware of this have to be asking their brokers: do we own any gold mining stocks?

What we see is a change in stock leadership. From 2001-2011, gold bullion grew at a CAGR of 20.7%/year on average, while the S&P was essentially FLAT for that entire 10-year period. The same thing is happening again as people abandon the frenzied NASDAQ stocks in favor of sound money assets.

WHAT A YEAR FOR GOLD & SILVER

In last years' Q4 2025 letter, we pointed out the following two quotes which foreshadowed what we've experienced in the past year:

> "I think we are in a long-term bull market for gold. We're seeing reserve accumulation by central banks. I follow it closely. It is my biggest position. Even I was surprised when the central bank of Poland said they want to take their gold reserves to 20%.
>
> - Scott Bessent, Secretary Nominee, U.S. Treasury, 11/2/24

> "I believe there will likely be a pending [sovereign] debt money problem....I want to steer away from from debt assets like bonds and debt, and have some hard money like gold and bitcoin.....it is impossible for these [major] countries to be able to not have a debt crisis in the years ahead that will lead to a great decline of [money] value."
>
> - Ray Dalio, Bridgewater, 12/10/24

Bessent and Dalio were prophetic. Well beyond just Poland's Central Bank jumped on the Bullion accumulation train, and so did many western investors who finally followed the BRICS nations. And our current situation is a far cry from past headlines like this from 10 years ago:

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Let's Be Honest About Gold: It's a Pet Rock

By Jason Zweig Follow

July 17, 2015 12:13 pm ET

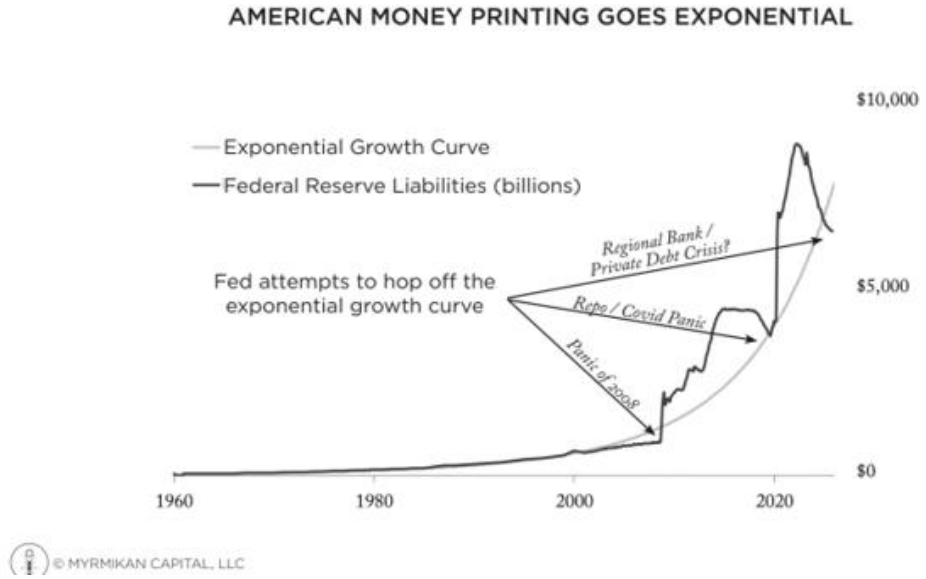
By the way, that 2015 WSJ headline occurred with the gold price at $1,134 just a few months before it bottomed at $1,071 later that year. It aged in the same way as the famous Is Inflation Dead? 2019 magazine cover which came out one year before COVID carried inflation to 9%.

FEDERAL RESERVE WATCH: TRAPPED

The fourth quarter was very historic in one important respect: the money printer got turned on once again. Recall in May of 2022, the Fed announced that it would begin quantitative tightening in an attempt to control inflation and soak up all the Covid stimulus' excess liquidity. They began this tightening with balance sheet reductions of $47.5 Billion per month and ramped it up to $95 Billion per month soon thereafter. This helped to shrink the Federal Reserve Balance Sheet and, for a while, the Money Supply (M2) in order to reduce inflation from its peak of 9%. Isn't it interesting that the printer got turned back on in December 2025 and yet gold was strong throughout the year, particularly in September when it became clear that DOGE had failed and deficits would persist. We have often said that gold is really good at sniffing out future monetary debasement.

The following chart by our friend, Dan Oliver does a nice job of showing the path of the Fed's Balance Sheet which is a good proxy for bank reserve growth which, in turn, then drives global liquidity and M2

growth. Note the last two Big Prints occurred in 2008 and 2020. Also note how they compare to the lighter colored line which shows an exponential growth curve.



This comparison highlights a very important point. MATHEMATICALLY, when the supply of money does not keep up with the growth of debt, the monetary system breaks and money printing is required to keep it going. We saw it in 2008, and we saw it again in 2020. Now look at where the dark line is in comparison to the lighter line today. What do you think happens next?

Well, as if on cue from a director, the Federal Reserve addressed this issue in 2025 in two steps. First, at their meeting on October 28-29 they announced they would stop the balance sheet tightening (QT) and then at the next meeting on December 1 they announced that they would begin purchasing $40 Billion of Treasury Securities every month. This is blatant money printing and used to be called Quantitative Easing (QE), but they have decided to rebrand it as "Reserves Management" and say that is it not really money printing but just a technical step to keep liquidity within the banking system. That is true, but let's call it what it is: MONEY PRINTING.

Now make no mistake, the Fed did not want to take this step. They realize that they have not achieved their "controlling inflation" mandate, and Chairman Powell fancies himself as Paul Volcker. However, the markets and the math left them with no other choice. Their tone was interesting: "No big deal, nothing to see here folks." But it is a really big deal, and there is a high probability that the Reserves Management amount will have to grow.

We also thought the way in which this was done was interesting. After the October meeting, they had several of their media proxies float trial balloons suggesting that they might do this, and the amount suggested was $25 Billion per month, maybe starting in 2026.

Then when the December meeting arrived, they announced a larger amount, $40 Billion per month and that it was starting in TWO DAYS! Well, maybe things were a little tighter than originally projected.

Bottom line: the Fed will be forced to increase the rate of money printing due to a combination of mathematical constraints outlined above and the fiscal irresponsibility of the Federal Government. Furthermore, there is about to be a changing of the guard at the Fed, and the Executive Branch will have a much larger voice in the money printing equation. Let's address this next.

TRUMP WATCH: RUN IT HOT!

In our Q3 and monthly reports we have detailed President Trump's attack on the Federal Reserve. He fired one Fed Governor for alleged mortgage fraud (case pending in front to the Supreme Court), and he has applied pressure on the Fed causing two Fed Governors with irregular trading patterns to resign or leave early. He also inserted Stephen Miran, Chairman of the Counsel of Economic Advisors onto the Fed Board. Miran has already dissented three times as a Federal Reserve Governor. At the September, October and December meetings he called for 50 basis point rates cuts instead of the majority decision of 25 basis point cuts. In public statements, he has also said that he thinks the Fed Funds rate should be 2% and Trump has said it should be 1%. Presently the Fed Funds rate is 3.50% to 3.75%.

Fed Chair Jerome Powell's term expires in May 2026, and Trump will appoint the new Chair. He has not hidden his disdain for Powell, labelling him as "too late" and calling him stupid and a moron. Trump has now ordered an investigation of Powell relating to the new $3 billion Fed building (what's another $3 billion with $2 trillion deficits?) He has also made it very clear that the new Fed Chair will have to agree to reduce interest rates. The two leading candidates for the role are Kevin Hassett and Kevin Warsh. Both are qualified for the role although Hassett is considered to be more dovish on interest rates. Until recently, based upon hints from the Administration, Hassett was the leading contender for the role, but some of the participants in the bond market are rumored to have pushed back hard on the thought of a Hassett Chairmanship and so Warsh is now considered even odds of getting the role.

If it happens that the bond market does not like the new Fed Chair's lower rate plan and its inflation impact, then other steps will probably be taken to deal with that. Board Member Miran already hinted at the possibility of fixing yields at a set rate (yield curve control) in testimony before Congress when he was being approved for the role. Keep in mind that yield curve control is what Third World countries do to try to save their bond markets. That is, they buy their own bonds with newly printed money. The problem with this is that once everyone becomes aware of it, faith in the currency is lost.

The US has prior experience with yield curve control from 1942 to 1951 to pay for WWII. It worked, but it was highly inflationary and we were only saved by the post war growth in the US economy as the US was the only functioning economy after the war had destroyed Germany, Japan and most of Europe.

The Bloomberg article below is telling with respect to how Trump, Bessent and Miran are viewing the Federal Reserve and yield curve control.

Fed "third mandate" forces bond traders to rethink age-old rules – 9/16/25
Fed 'Third Mandate' Forces Bond Traders to Rethink Age-Old Rules - Bloomberg

> *For generations on Wall Street, it was a statement of fact: The Federal Reserve's "dual mandate" of price stability and maximum employment governed how it set interest rates, invoked time and again from Alan Greenspan to Jerome Powell. So when Donald Trump's latest pick for Fed governor, Stephen Miran, cited a third mandate — that it must also pursue "moderate long-term interest rates" — chatter lit up on bond trading desks as analysts debated what it all meant.*
>
> *As Brenner sees it, the fact that Miran, of "Mar-a-Lago Accord" fame and a newly minted Fed official, saw fit to mention the "third mandate" in congressional testimony is one of the clearest signs yet that the administration intends to wield monetary policy to influence longer-term bond yields, using the central bank's own bylaws as cover.*
>
> *It also underscores how willing Trump is to upend decades of institutional norms to break down the Fed's longstanding independence in service of his own goals.*

Treasury Secretary Scott Bessent has also discussed how the US Treasury and the Fed need to coordinate on monetary policy. This Administration is going to make up or bend the rules on Fed independence. They will site national security if they have to. We just saw in Venezuela how the US can define the rules in a way that suits their interests. And now Trump is bullying Denmark into selling Greenland to the US. This President is willing to be very aggressive and stretch historical boundaries if he thinks it will help him to accomplish his goals. We expect that this will extend into the sphere of monetary policy.

With the US mid-term elections only 10 months away, Trump is clearly pulling out all the stops to try to maintain the Republican control of the house. The ink is barely dry on the Tariffs, and the US Supreme court is about to weigh in on their legality (and deficits remain quite large). Yet, Trump is talking about giving a tariff rebate to lower income families.

Frankly, it is tough to keep up with all of the steps he is taking. Last week, he called for a ban on corporate ownership of US houses in order to try to improve housing affordability. He also announced that Fannie Mae and Freddie Mac will be repurchasing $200 Billion of mortgage-backed securities to try to reduce the cost of mortgages. Then he announced that he wants Congress to enact a law which sets a cap on credit card interest rates at 10%. Essentially eliminating the current legal structure that permits each state to choose their own usury laws and limits.

And finally, we know that the Big Beautiful Bill will add between $300 to $400 billion to expenses, and Trump just called for increasing the Defense Budget (rebranded as The Department of War) to increase from its current $1.0 trillion rate to approximately $1.5 trillion. Politicians with a checkbook and a money printer are the largest danger to our Republic, in our opinion. At the margin, spending more money to address problems is an easy choice.

What we see is a President and Administration that are going to do everything they can to GROW their way out of a debt problem. They cannot let the economy slow, they cannot let the stock market correct, and they cannot let money grow tight. They are going to RUN IT HOT!

If they get interest rates low enough, and provide monetary fuel, their hope is that growth will save them. They may be correct, but there is no way they can do this without setting off another serious bout of inflation. The release valves with this kind of strategy are Distrust in the currency and inflation.

The Truth Social comment by Trump below and Retweeted by Ben Hunt details this strategy. President Trump alludes to the possibility of growing GDP 20% in one year! In headline terms that may be possible but only because inflation is running at 15%.

Ben Hunt @EpsilonTheory · Dec 24, 2025

They're gonna **run it hot** like you can't even believe.

Donald J. Trump
@realDonaldTrump

THE TRUMP RULE:

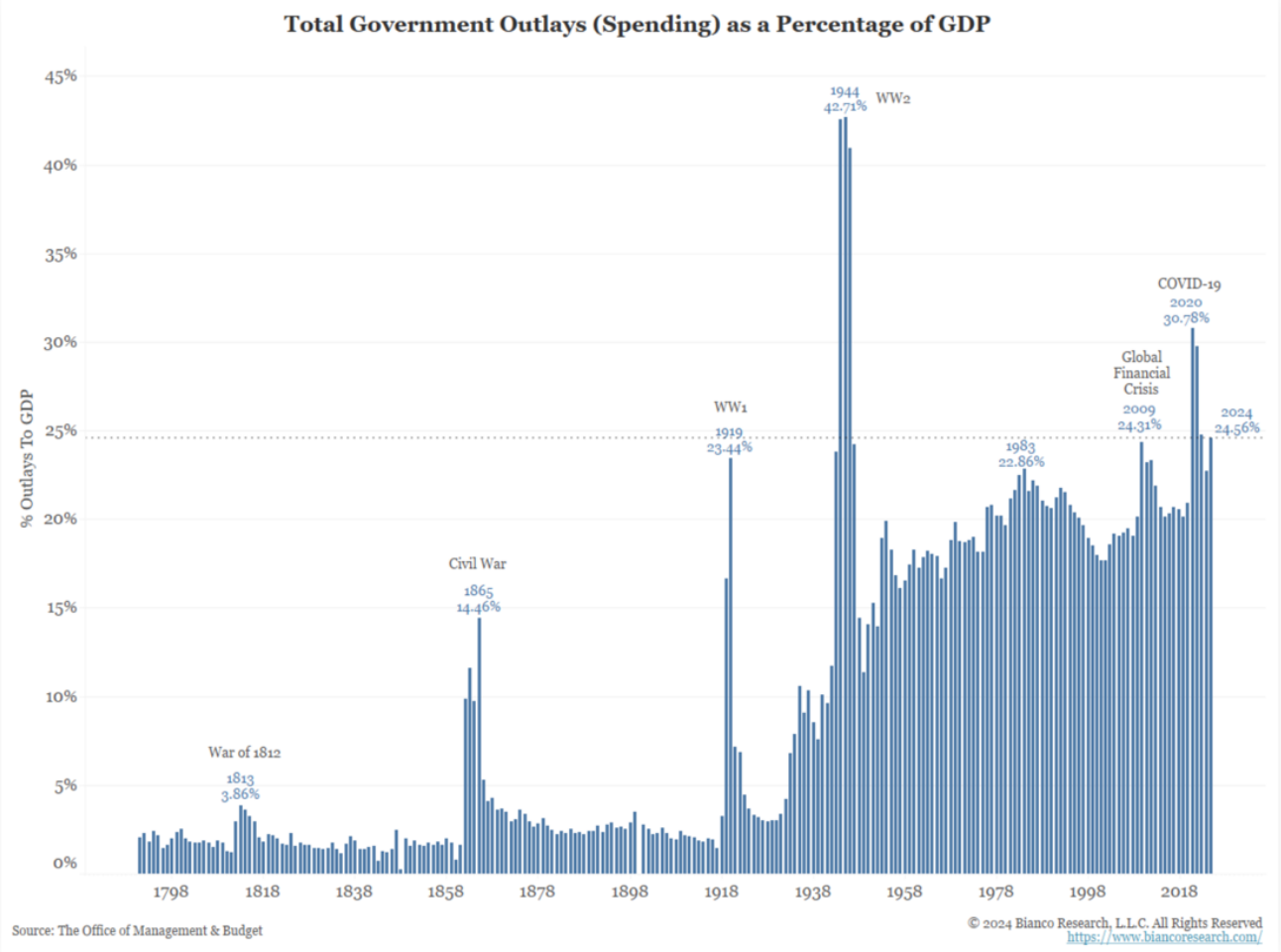
The Financial News today was great — GDP up 4.2% as opposed to the predicted 2.5% (and this, despite the downward pressure of the recent Democrat Shutdown!) — But in the Modern Market, when you have good news, the Market stays even, or goes down, because Wall Street's "heads" are wired differently than they used to be. In the old days, when there was good news, the Market went up. Nowadays, when there is good news, the Market goes down, because everybody thinks that Interest Rates will be immediately lifted to take care of "potential" Inflation. That means that, essentially, we can never have a Great Market again, those Markets from the time when our Nation was building up, and becoming great. Strong Markets, even phenomenal Markets, don't cause Inflation, stupidity does! I want my new Fed Chairman to lower Interest Rates if the Market is doing well, not destroy the Market for no reason whatsoever. I want to have a Market the likes of which we haven't had in many decades, a Market that goes up on good news, and down on bad news, the way it should be, and the way it was. Inflation will take care of itself and, if it doesn't, we can always raise Rates at the appropriate time — But the appropriate time is not to kill Rallies, which could lift our Nation by 10, 15, and even 20 GDP points in a year — and maybe even more than that! A Nation can never be Economically GREAT if "eggheads" are allowed to do everything within their power to destroy the upward slope. We are going to be encouraging the Good Market to get better, rather than make it impossible for it to do so. We are going to see numbers that are far more natural, and far better, than they have ever been before. We are going to, MAKE AMERICA GREAT AGAIN! The United States should be rewarded for SUCCESS, not brought down by it. Anybody that disagrees with me will never be the Fed Chairman!

The important thing to take away from a RUN IT HOT! Strategy is that there is no way to do this without printing a lot of money. Literally a BIG PRINT.

When you have the President saying they intend to grow, and the Treasury Secretary saying that the Fed and Treasury need to be melded into one entity, it is not hard to connect the dots. They are going to force us into a "crack up boom".[1] They are telling us what they are going to do. We need to believe them. None of us own enough hard assets in this environment. We must own what cannot be printed.

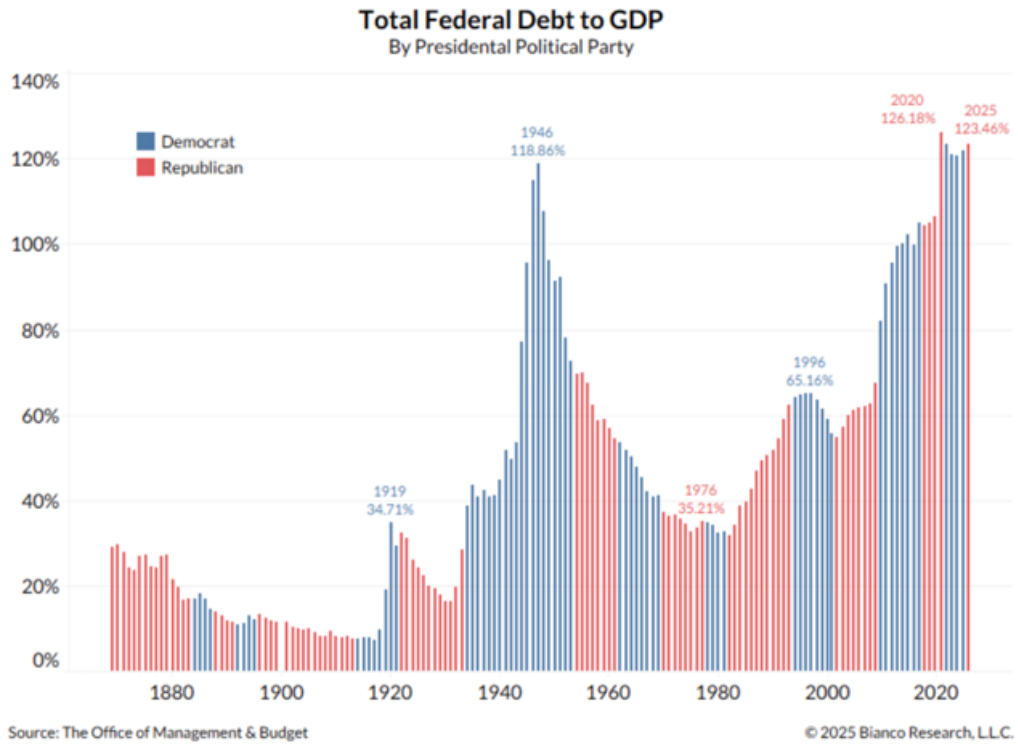
How hot can they run it? What are the limits? The next three charts by Bianco Research provide a good historical perspective on how large the government has grown as a share of the economy.

In the first chart, note that the COVID pandemic and WWII are the only times when government spending was a larger share of GDP. The upward creep in Government control of the economy is clearly evident.

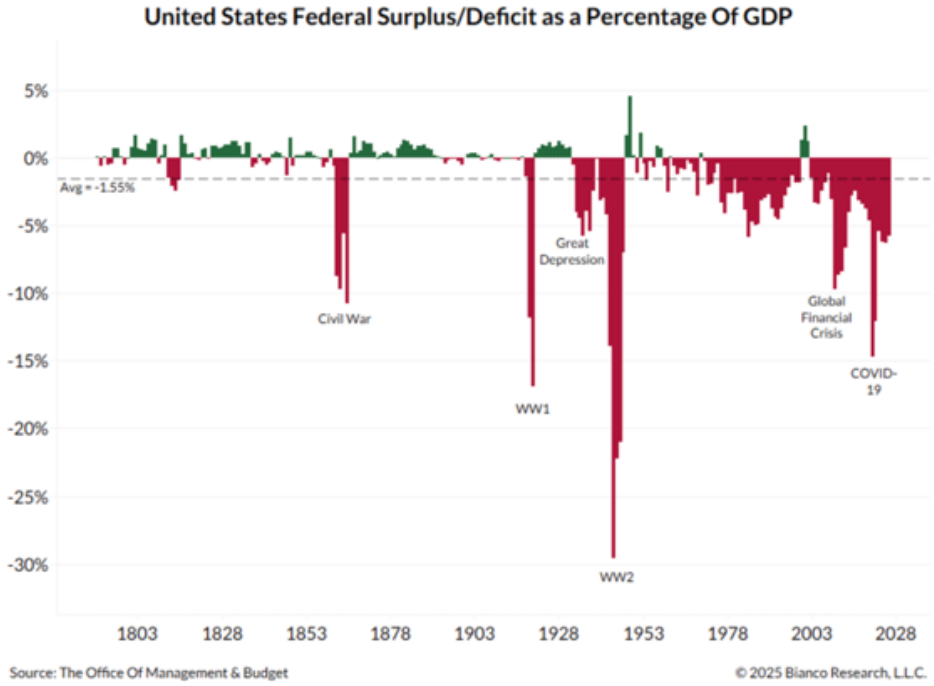


Now, on the next chart consider Debt to GDP. We have exceeded the peak of WWII and there is no war!

[1] A "crack-up boom" describes the final, chaotic stage of a monetary crisis, coined by Austrian economist Ludwig von Mises, where excessive money printing and credit expansion lead to hyperinflation, causing people to abandon paper currency for real assets (like gold, real estate, goods) as money rapidly loses value, ultimately collapsing the monetary system (source: Google Gemini)



Finally, consider the US Budget deficits as a percentage of GDP. We are below the levels attained during the Global Financial Crisis and COVID, but not by that much. With a healthy economy and record stock market wealth, we are running huge deficits. Imagine what happens if something breaks.



MONETARY CHAOS: SECULAR TREND CHANGE

These charts demonstrate how close we are to the end of the monetary road. Our government has kicked the can for a long time, but the road is growing short, and the can is getting heavy. There are not many choices left:

- We can let things collapse and let the debt go bad like it did in the Great Depression, but that is not too appealing.
- We could do a monetary reset and restore sound money which would be painful initially but the correct move long term. It is unclear if Trump/Bessent have the guts or political space to do this.
- Or we can try to inflate our way out of this mess which is clearly the highest probability path.

Interestingly, the monetary chaos began in a big way in 2008 with the Global Financial Crisis (GFC) when interest rates were taken to zero and Trillions were printed. But the bond market did not wake up to the danger until 12 years later.

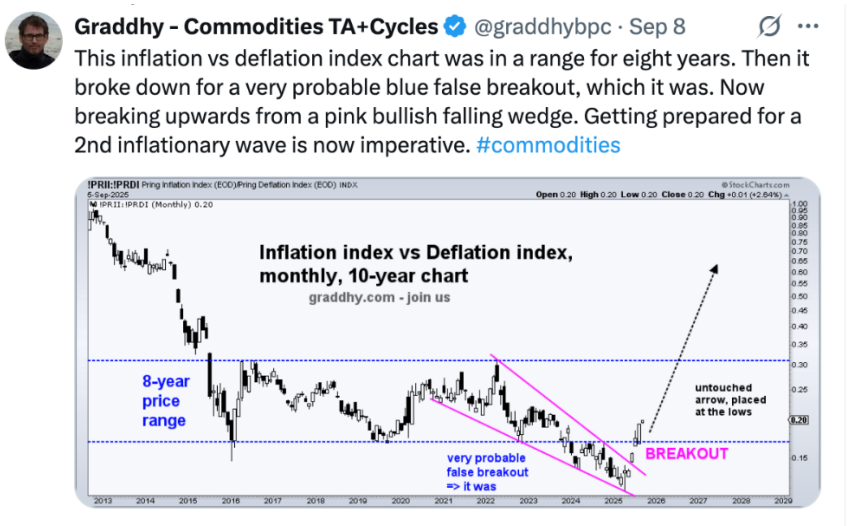
We consider the next chart to be extremely important. It shows the 10 Year US Treasury yield. For five decades, with the dollar as the World Reserve Currency, the 10 Year basically set the risk-free cost of money and was the basis for pricing all sector debt (e.g., mortgages). What the chart shows is that from the inflationary peak in 1982 (based upon the inflation of the 1970's), the yield on the 10 Year trended down from 1982 to 2020 in a deflationary setting. This was very good for equities and bonds. The trend was driven by technology, the opening of China, new oil drilling techniques and overall increases in efficiency. Also, throughout the 1980's and early 1990's, monetary policy was not extreme.

In 2020 with the COVID crisis, we achieved peak deflation with the 10 Year briefly trading at 50 bps. The policies and spending enacted in response to COVID kicked off an inflationary trend that we believe has just started. Note how the deficits and money printing associated with COVID in March 2020 broke the downward trend line and the 10 Year now lives in the 4% per year region.

This is a BIG SECULAR CHANGE. It is the reason why gold, silver, bitcoin and all tangible assets have a long way to run. People are having a hard time accepting that we now live in an inflationary world, but we do. It reminds me of when I started in the investment business in 1981. At the time, inflation had been running rampant for 10 years, and everyone thought inflation would never be conquered. There was a famous Business Week magazine cover "The Death of Equities: how inflation is destroying the stock market" in August 1979. Right before inflation was tamed and the largest bull market in history was about to launch. Bonds were considered certificates of confiscation. One economist, Gary Shilling took the other side, bought 30-year government zeros and made enough to retire in 5 years.

Similar to 1981's deflation pivot, an inflationary pivot is transpiring now. This new secular change has many years, perhaps even decades to run. When everyone agrees with us perhaps it will be over, but now it appears to just be getting started. If this is the case, hang onto your hats concerning the price level and the prices of gold, silver and bitcoin. Markets tend to overshoot.

The next two charts offer visual confirmation of what we have been saying. Technical analyst Graddhy shows how the inflation vs deflation index appears to be breaking out.



Also, the market price of US 10-year Inflation Break even rates has just broken out this past summer.

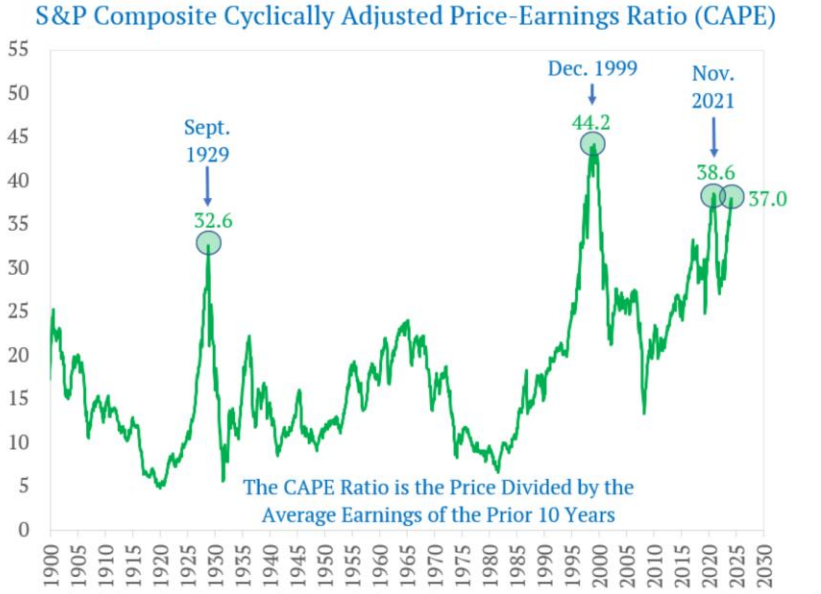
People are becoming aware of these inflation trends and the Monetary Debasement Trade as discussed in our Q3 letter. We also saw Morgan Stanley revise their model from 60/40 stocks/bonds, to 60/20/20 stocks/bonds/gold. But think about it realistically. How many of your friends and neighbors hold gold or gold stocks? Not many, right? Before this secular trend is over, everyone and their brother will be talking about how you have to own this stuff because of how well it has performed.

Like we said in our recent webinar: we think we are in the second or third inning of this baseball game and we could go into extra innings!

BROADER MARKETS & LEVERAGE

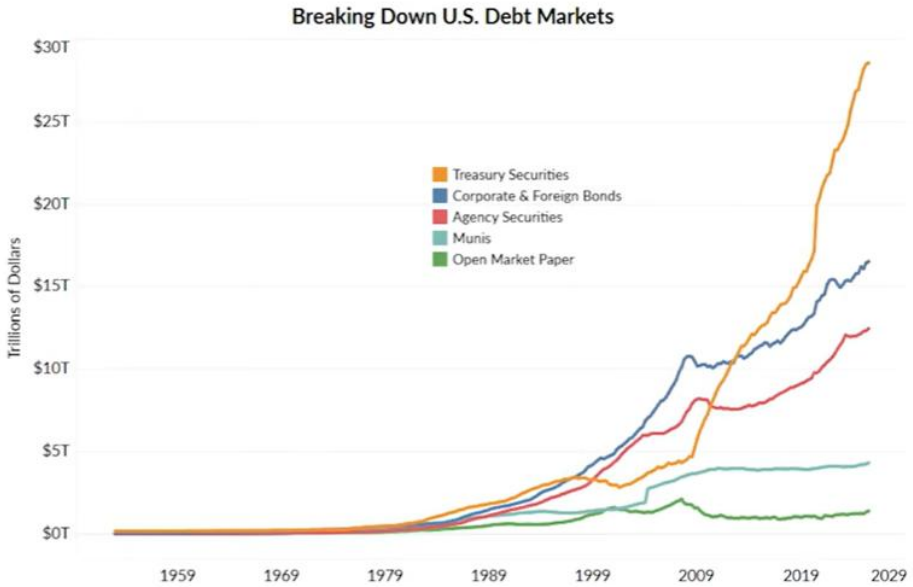
The stock market had another solid year, up 18-20% generally despite the myriad of noise in the world. Earnings growth has remained solid although much of it via cost cutting. Yet, investors are ignoring so many risks in the broader markets.

- **Valuations are near extremes –** Shiller's moving average CAPE ratio is higher than 1929 and approaching the 1999 highs.



Source: Robert Shiller, Stock Market Data Used in "Irrational Exuberance," Princeton University Press, 2000, 2005, 2015, updated. Data as of Jan. 2025. File #0369.

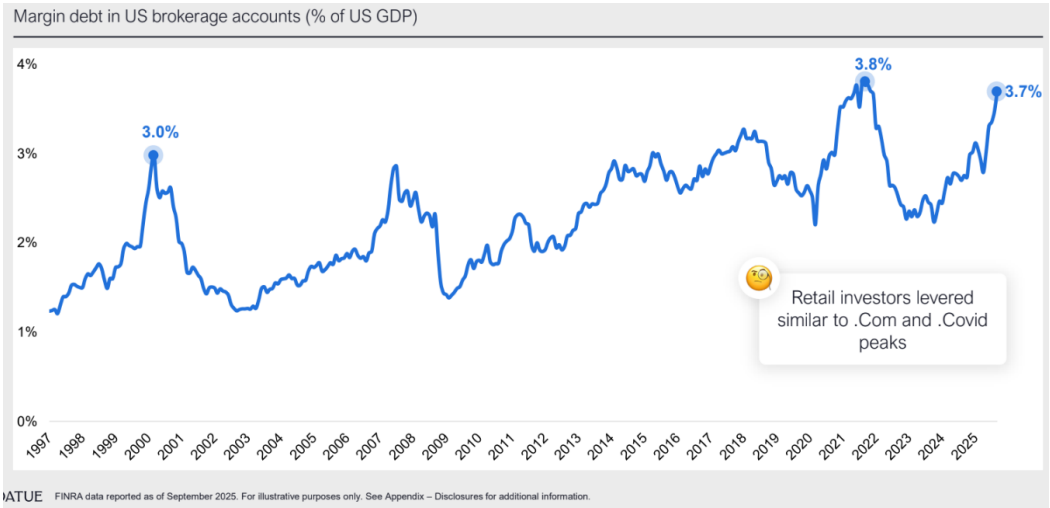
- **Leverage Galore –** as we discussed above, much of the Gold and Silver move has been an awareness of just how fragile our system is and built on leverage and the need for the Federal Governments (globally) to keep running deficits and printing money. The chart below shows the parabolic growth in US Treasury Bond issuance! Corporate & Foreign Bonds (blue line) as well as Government Agencies (red line) are in on it too!



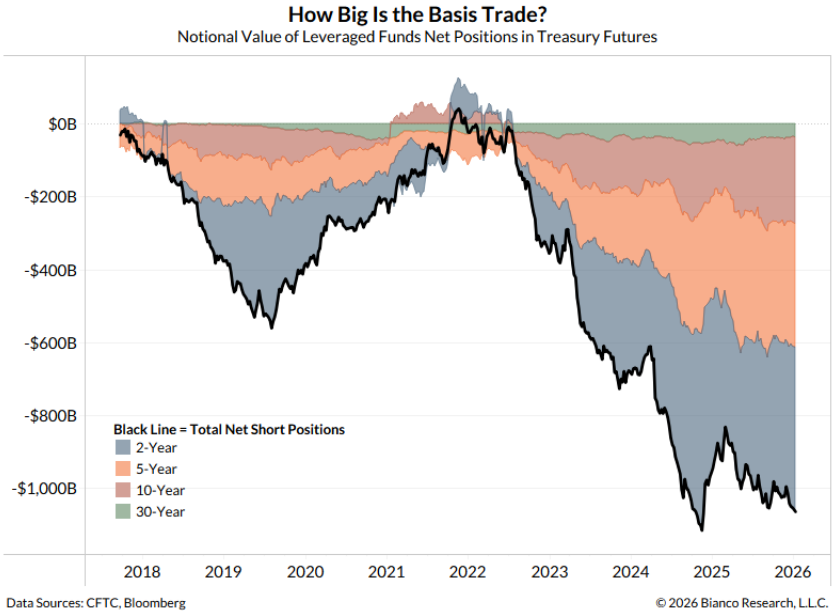
Source: DoubleLine Capital, The Federal Reserve, Bianco Research

- **Speculative Excess as Seen Through Leverage –** this idea of "the Government has your back and will keep printing" is fueling speculation by all sorts of investors (both institutional and retail) as seen in the following:
  - **Hedge Fund's Leverage –** Hedge Funds have borrowed aggressively from their Prime Brokers and Repo Markets. Note the very rapid growth in repo and prime brokerage borrowing since 2020.

- **Mom & Pop Leverage -** when looking at Margin Debt at retail brokerage accounts like Schwab and Fidelity, even mom & pop are levering up. The chart below shows Margin Debt in brokerage accounts as a % of US GDP. Note we are well beyond the 1999 highs.



- **The Basis Trade -** For decades now, US markets have had huge tailwinds from the infamous "Japanese Basis Trade". i.e., a fund borrows in Japan with its low, low interest rates, levers up massively…then invests in the US markets. The chart below shows how massive this Basis Trade has gotten over the past 10 years. It depicts how over $1 Trillion is now in the US Treasury Futures basis trade where funds (i) borrow in Japan, (ii) Buy US Treasury Bonds, and (iii) Sell US Treasury Futures as the spread collapses in time. Funds then lever this trade massively to scale their returns. Japan's own fiscal issues are percolating including whether they defend the Yen to stem some of their own inflation challenges and let rates go higher – things will begin to unravel and have domino effects on global markets.



Like all things, this is good so long as the music keeps playing, but if rates go up globally (as is beginning to happen this week) in an inflationary world – this trade will be unwound. Inflation from money printing globally will spike rates higher and the sale of assets will follow. It is our belief that gold, silver and Bitcoin will be the safe harbors as this trade unwinds over the coming years.

GOLD

The most important thing to understand about gold is that it is the ultimate form of money because it is geologically constrained and cannot be debased. When economies are growing, monetary policy is responsible, and credit is expanding in a measured way, you do not need gold, and it underperforms most other assets. These conditions existed between 1982 and 2000. These conditions do not exist anymore and in fact we see the exact opposite. Our monetary system is broken, and people are becoming aware of it and buying gold. Simon Mikhailovich summarized it nicely.

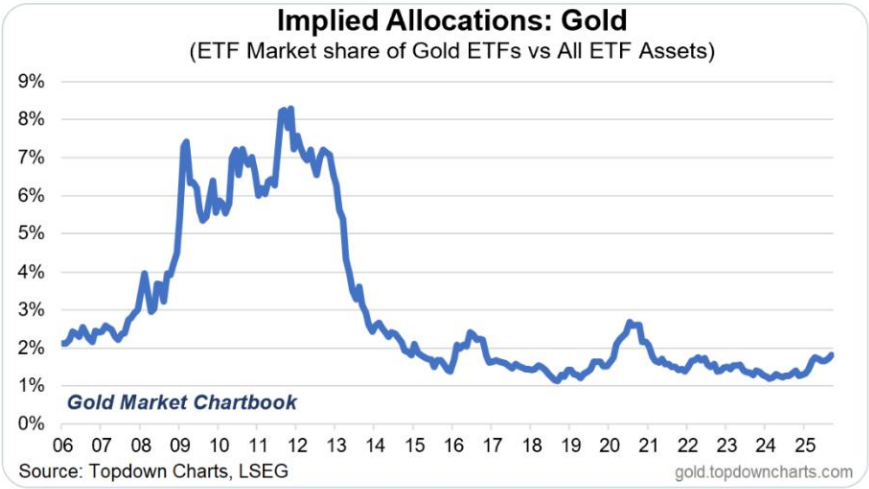
Simon Mikhailovich @S_Mikhailovich · Sep 8

"What we're watching is not just a rally, but a repricing of trust itself. Gold isn't yielding, innovating, or compounding. It's simply absorbing the market's collective disbelief in paper promises. ...it's a referendum on the system."

No one can dispute that we are in a bull market for gold. The price action is compelling.

Of course, the next questions are, have I missed it, how high can it go? We strongly believe that investors have not missed this bull market and we are still early.

Consider the next chart below. Many investors and index funds choose ETF's as a way to gain exposure to an asset. This chart shows the market share of Gold ETF's compared to all other ETF's. Note that the present share is under 2%. In the 2000-2008 bull market it was 4x this level and even in the 2016-2020 mini bull market it was 50% higher. We believe this current bull market will be larger than both of those. If we are correct gold prices will travel much higher.

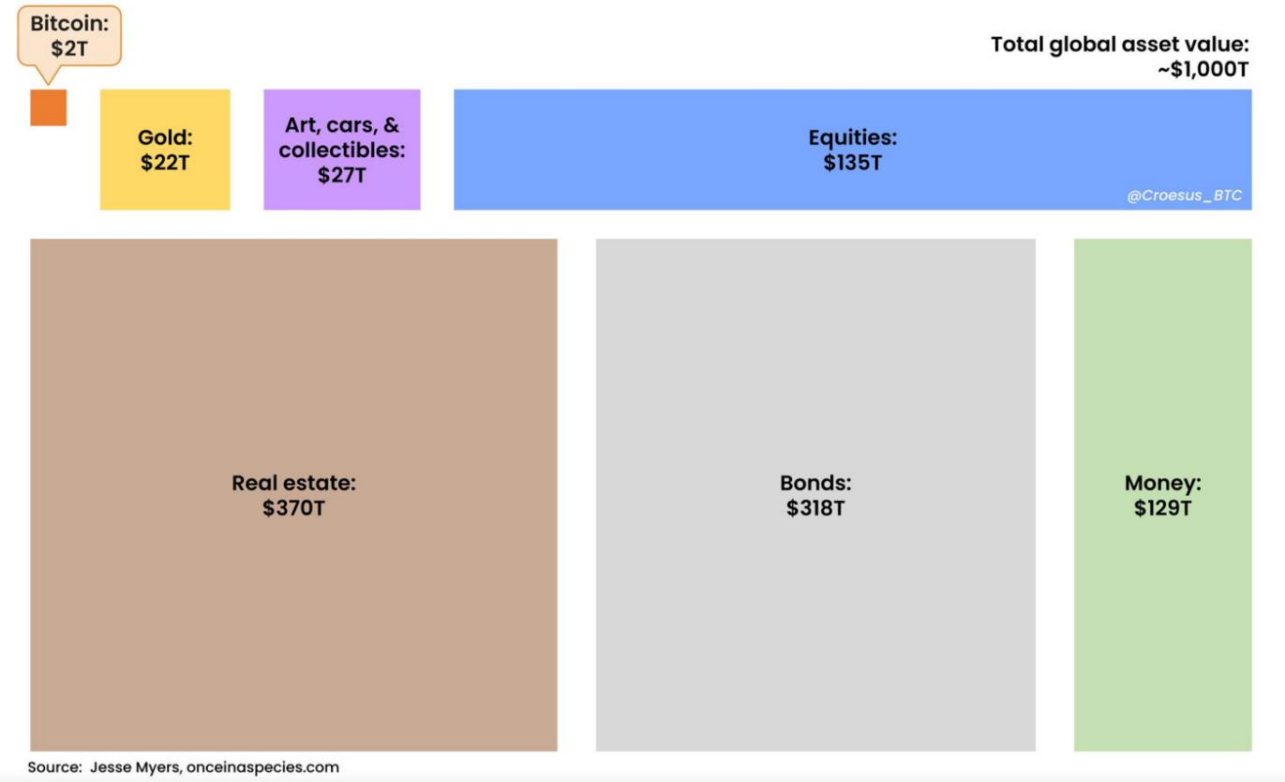


As we said above gold performs well when monetary debasement is taking place. Since 2000 we have experienced a great deal of monetary debasement. Most people intrinsically feel this and think the "go to" solution is the stock market. However, as the next chart shows since 2000, Gold is up 16.4x vs. the S&P 500 is up 4.7x.

Gold vs. S&P 500 % Performance (2000-2026)

TOTAL GLOBAL ASSET VALUES BY CATEGORY

Another way of looking at this is to look at the global allocation of all investment capital. The next excellent schedule is from our friend Jesse Myers. Here he shows the size of all the major investment buckets worldwide. Note the large sums of capital that are deployed in real estate, bonds, and equities. Notice how large they are when compared to the total gold market and the Bitcoin market. What this schedule shows is that there is a lot of capital that needs to migrate into sound money assets.



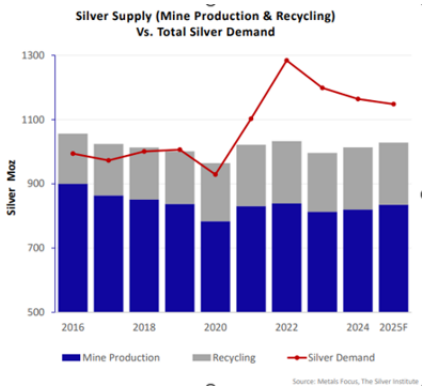
Under the current conditions, it should be easy for gold to achieve $6,000 per ounce and $8,000, $10,000 and $15,000 are not out of the question in the next 5 years.

HI HO SILVER!

Silver was THE story in December across ALL GLOBAL markets as the price action below shows.

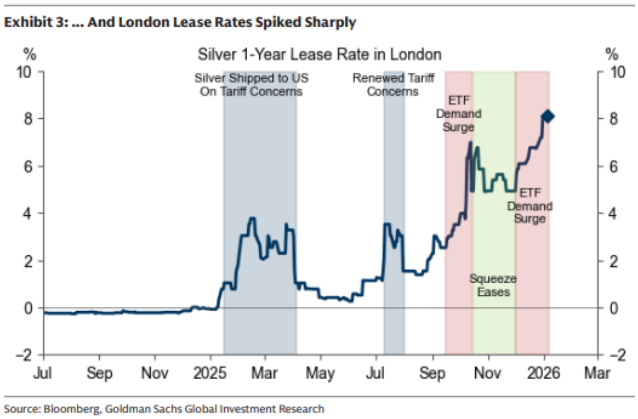
Silver may potentially go much, much higher. In essence, silver is right in the middle of a cross section of major trends --- from supply shortages, to energy demand, to national defense needs and the growing diversification trends favoring sound money assets.

1. **<u>Demand > Supply:</u>** For a number of years, there has been a deficit in silver production. The 2012-2024 Bear Market in Gold & Silver crushed investment in mines. Moreover, silver is a byproduct metal largely derived from copper & zinc mines. So, there is little above-ground supply. On the demand side, solar and electric demand for silver persists given silver's highest electrical conductivity of all elements. In addition, AI data center demand requires 2-3x as much silver as traditional data centers. Awareness of the acute scarcity of silver has grown and silver prices exploded. Auto and battery companies (particularly Samsung, Tesla and Toyota) began to comment on the risks of being unable to procure enough silver inventory.



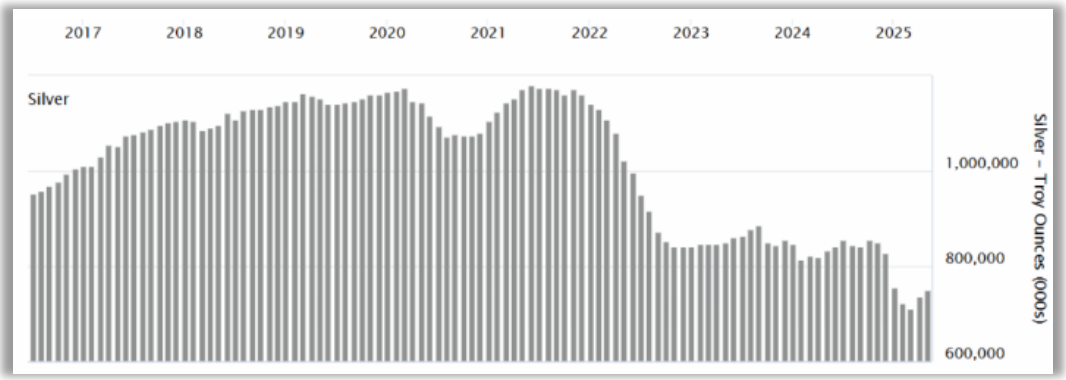
2. **Critical Mineral** – signs of shortages of silver could be seen in 2023 when the EU declared silver a critical mineral. And then in Q4 2025, both China and the US said silver is a critical mineral. And China (which produces 13% of global silver supplies and controls > 60% of silver refineries globally) banned exports of silver given its own strategic needs.

3. **Monetary Metal** – silver, like gold, is also a monetary metal. Central banks and investors have been accumulating silver in addition to gold. We saw this over the past 6 months as central banks and then ETFs were demanding "physical" delivery off exchanges for their own vaults.



In a balanced market, this lease rate should be at 0%. Instead, the latest reading is 8.53%, which means the average itself is still rising. This reflects how limited the availability of physical silver has become. High and rising lease rates are a classic signal of physical market stress.

4. **Run on Physical Silver** – Given the robust silver demand and deficits, there has been a run on Global exchanges for "physical delivery" of silver over the past few years and it is worsening. Here is a look at the decline in silver inventory on the LBMA in London.



Source: LBMA and justdario.com

In New York at the COMEX, in December 2025, there was 62.9 million oz of silver delivered - the largest ever one-month delivery of silver on the COMEX. Here in early January, delivery demands keep spiking for Silver. On December 26th COMEX or "the powers that be" tried to stop this demand and slow the price increases. They raised the margin rate in an attempt to drive out speculators. This worked – for a day or two. But it's just sounding the alarm to the shortages

further. Silver prices keep moving higher. As David Jensen points out while looking at London's shortages:

> As the global physical supply shortage of silver has intensified in 2025, the London silver market has experienced material trading and delivery disruptions making it clear to many holders of these silver ownership contracts that delivery appears unlikely to be obtained for most holders.
>
> > As the awareness of increasing London delivery default risk spreads, holders of these London contracts are incentivized to secure silver bar delivery outside the London market wherever it can still be obtained and THAT will lead to a sudden and rapidly compounding global physical silver supply deficit. This process appears to be already underway due to London's silver delivery disruptions this year.
> >
> > Superimpose on top of existing London claims for silver delivery, where owners seek to be made good on their existing metal ownership contracts, additional new entry demand as a portion of $270 trillion (T) of bond and equity holders worldwide also seek to preserve their savings and the conditions can be seen for the coming intense and near stepwise increase in the price of silver - potentially over the matter of a few weeks, even days.

Source: jensenddavid.substack.com

5. **<u>Blow Up Coming?</u>** The "paper silver market" (i.e., the bullion banks and/or CTA Commodity Traders that have been suspected to have suppressed silver prices for decades) may be about to blow up. Why?

- The CFTC publishes monthly a high-level report on banks future contract totals. They don't name the banks but they just tell you how US vs. Non-US banks are positioned. Check out the red circle in the chart below on last week's report. While US Banks appear to be fairly balanced on long vs. short contracts, its Non-US Banks or CTA type traders that have a massive "short" silver position relative to their long Position. Some of these folks will be caught massively offsides soon. This is a big reason you are seeing silver spiking in price lately.

CFTC - Bank Participation Report in Futures Contracts (January 6, 2026)

COMMODITY	BANK TYPE	BANK COUNT	LONG FUTURES	%	SHORT FUTURES	%	OPEN INTEREST
CMX SILVER	U.S.	5	16,146	10.5	15,099	9.9	153,240
	NON U.S.	16	9,577	6.2	50,766	33.1	
		21	25,723	16.8	65,865	43.0	

For context, the non-US participants are net short 151,931 contracts (5,000 ounces per contract) and therefore are short 759,655 ounces. Approximately one year of mine supply.

- Adding to the intrigue, the CME is showing 101,490 Option Contracts that expire in March. If these contracts stick to the current trend, and the Buyer of the contract exercises and demands physical delivery the contract Seller will have to deliver nearly 500mm Oz of Silver, which would represent 62.5% of the total annual silver produced globally or 800mm Oz!!! This would be akin to the GameStop stock squeeze a few years ago!

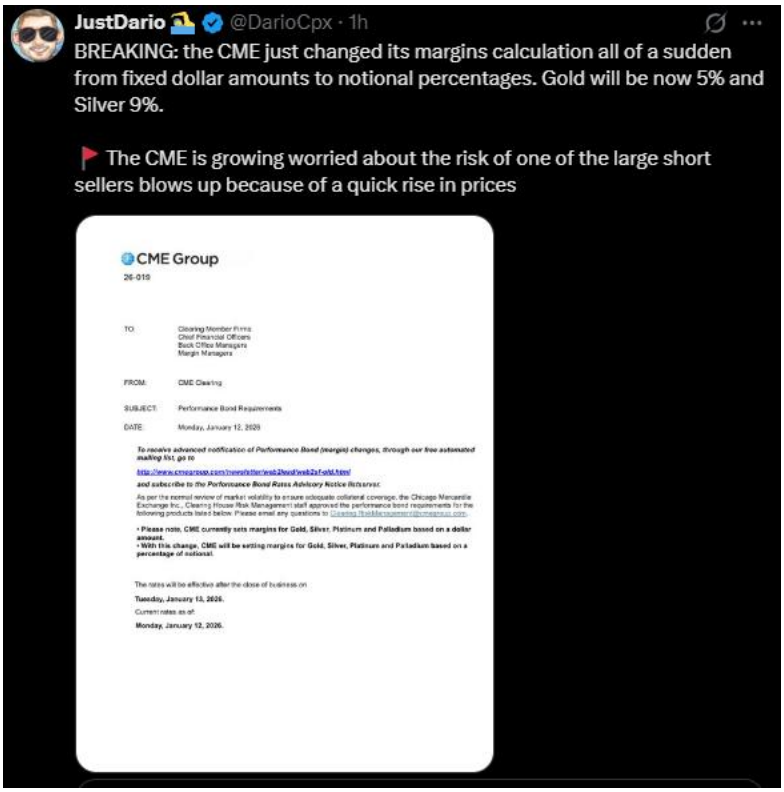
MONTH	OPEN INTEREST	
	AT CLOSE	CHANGE
JAN 2026	604	-233
FEB 2026	3,822	+21
MAR 2026	101,490	+3
APR 2026	184	-6
MAY 2026	21,020	-113

Recall on Thanksgiving night two months ago – after Silver had spiked to over $50/oz, the CME halted FX, commodities and futures trading for 10 hours to "cool their servers" (perhaps the backup systems took the holiday off - LOL!!). The CME only resumed trading at 8:30am EST on Black Friday – which coincidentally was the exact time that the Fed's standing repo facility operations resumed. Did some bank or fund need a life raft?

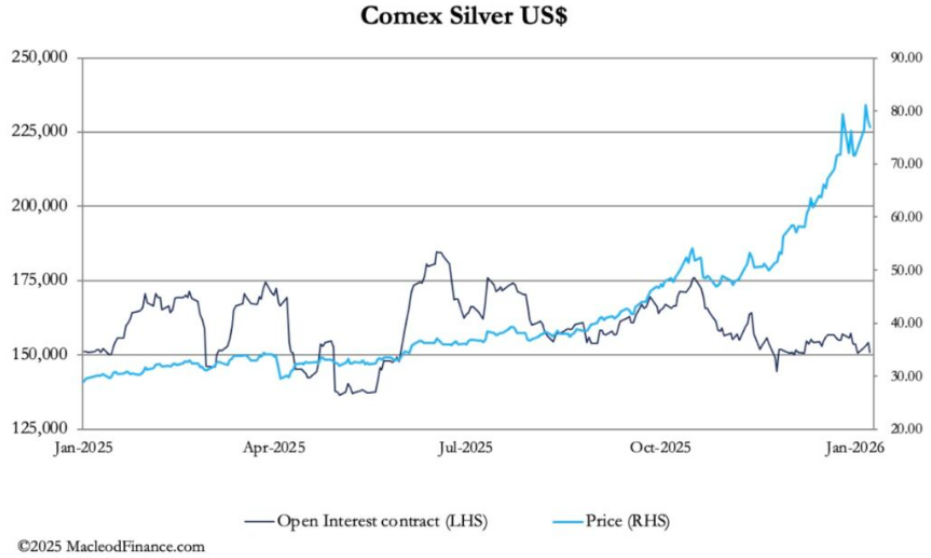
Adding to the intrigue, on Monday night January 12th (right after Silver went to a new all-time high of $85/oz), the US Treasury posted this below:

Perhaps this is turning into a modern-day Long-Term Capital Management issue in the silver markets!!??

- And that same night of January 12, the CME suddenly changed its margin requirements again.



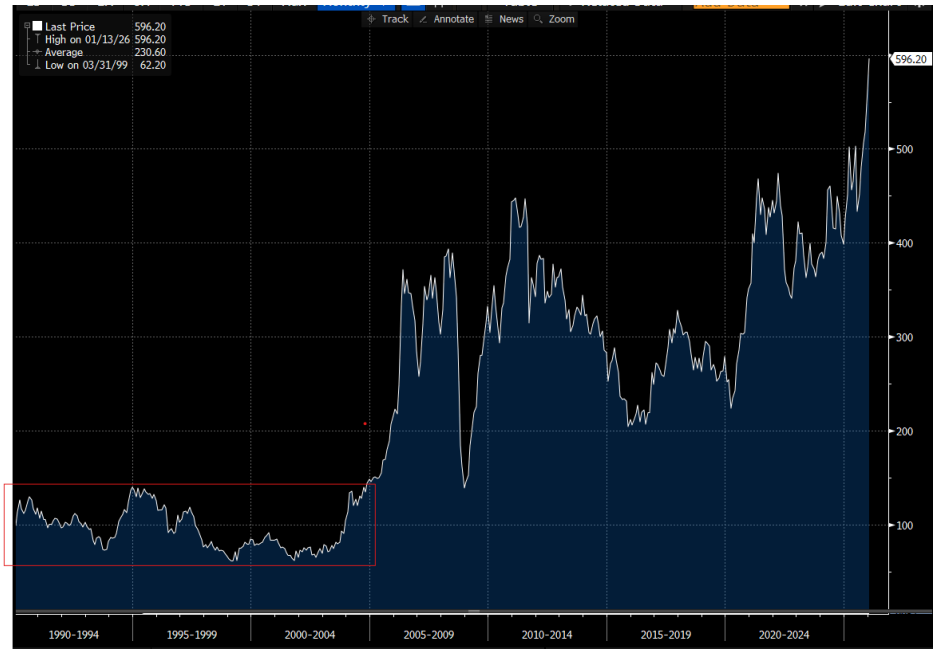
Get your popcorn! While many will think this is the classic "cyclical" rise in silver prices, soon to be followed by a crash in prices, this is different than when the Hunt brothers tried in 1980 to corner the Silver market as speculators. As the chart below shows, there have been no increases in speculator open interest (thin Dark Blue line) over the past several months.



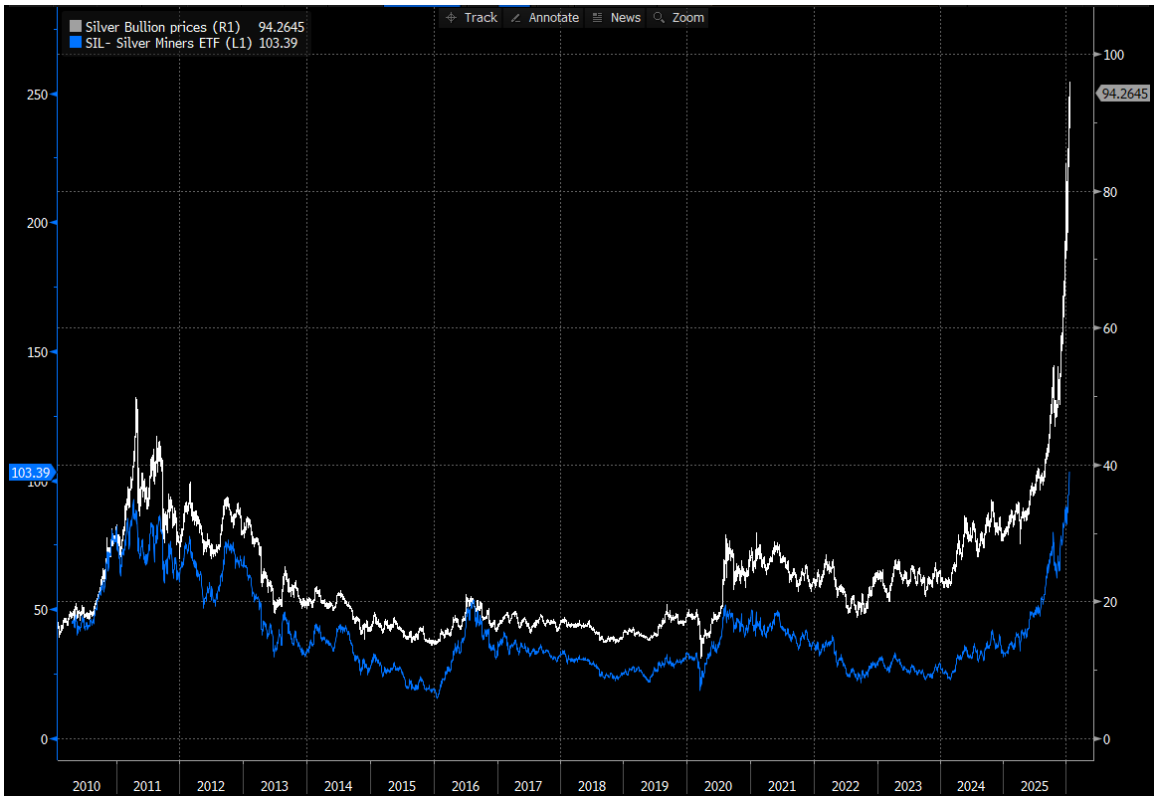
Rather, this is a physical shortage issue for a "critical mineral" in a world of growing solar/AI/power needs. Not to mention its growing demand as a sound money asset as the world further awakens to the debasement issue.

As the technician Michael Oliver's chart below demonstrates, when looking at a Log scale on Silver prices back to 1975, 'we've only just begun" as the Carpenters sang. In fact, Oliver thinks Silver may spike to $300+ silver during 2026 and could achieve $500 in this bull market.

Further, as Oliver points out – Copper had a similar long term "boxed in" price before a major breakout. As the chart below shows, from the 1980s-2005, Copper was stuck in the red box. But once it was no longer suppressed, it broke out to higher levels and barely ever looked back – even 20 years later.



More good news for our portfolio is the chart below: the Silver mining stocks (blue line) have really only just begun to chase the silver bullion spike, as this chart below shows.



We expect that the Blue Line (Silver miners) will catch up to even higher silver prices. The reason? The average all in mining costs for silver (ASIC) are now running $26/oz. In the first half of 2025, with a $30 average selling price, the miners had a 13% gross margin. At $90 silver prices, those margins (before inflation) have SWOLLEN to 70%+!!! A few beat and raise earnings estimates quarters in 2026 should do the trick to draw in a lot of Institutional capital chasing the silver miner cash flows.

We were early in our fund a few years ago with an overweight of silver miners. It hurt all of us in the fund in 2022 and 2023. But now you see why we wanted to be here!

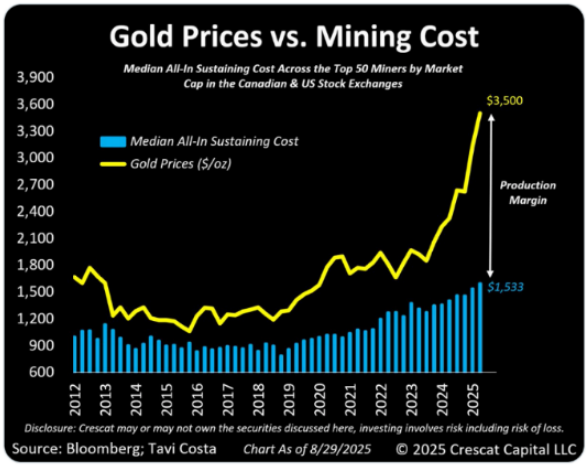
Another point to recognize is how small the silver market is. We mine 800,000 ounces per year. At $90 per ounce the total value of the silver mined is $72 billion. Currently above ground gold is valued at $22 Trillion. Bitcoin's total market cap is $1.9 Trillion. Total global financial assets as shown in Jesse Mayer's chart on page 19 are $1.0 Quadrillion. Silver is a pimple. Tiny shifts in demand and the need for paper silver shorts to cover can and will have such an outsized impact on its price.

GOLD AND SILVER MINERS

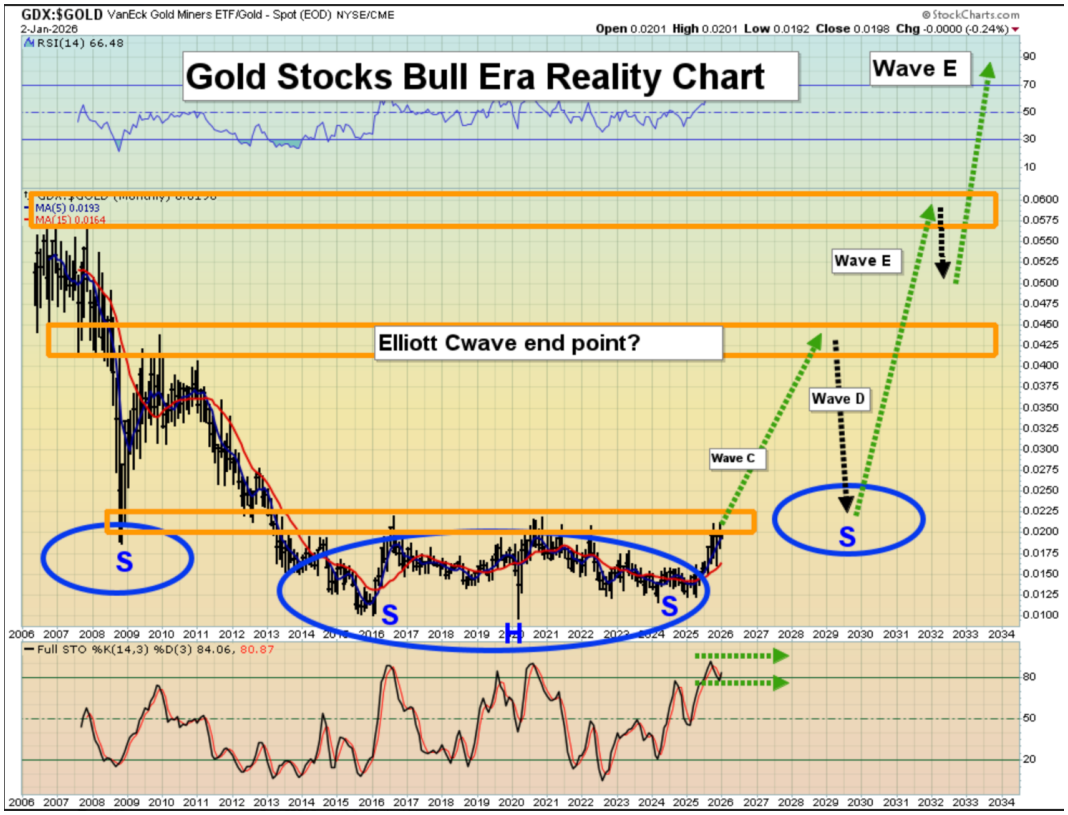
As we have said in the past, gold stocks have lagged the appreciation in the metal itself. The chart below shows the miners have begun the process of catching up but there is still a fairly substantial gap. The gap will close and the stocks will outperform the metal as they have in the past – particularly as more miner's valuations begin to grow, many will begin to enter the S&P 500 Index which creates more passive flows which propels the stocks higher. Presently, Newmont is the only gold miner in the S&P 500.

Price of Gold and HUI Gold Stock Index (2000-2026)

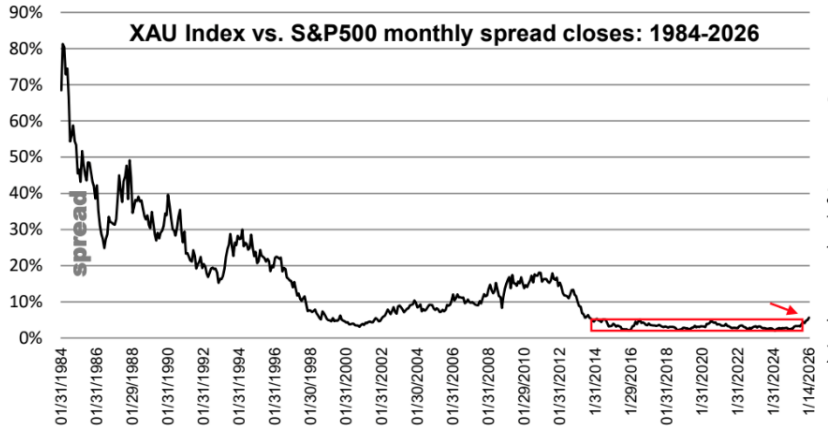
The reason for the anticipated stock outperformance is that gold mining companies represent streams of gold. One way of thinking about it is: if the monetary system returns to a gold standard, then the gold miners become the central bank. The gold miners are also enjoying much higher margins because their cost to extract gold has not increased as rapidly as the price of gold. The next schedule shows how much gold mining margins have expanded, and this chart used the August 2025 gold price of $3,500. Currently the price of gold is $4,900 per ounce. At this level the gold miners earn a 70% profit margin on each ounce minced. INCREDIBLE.



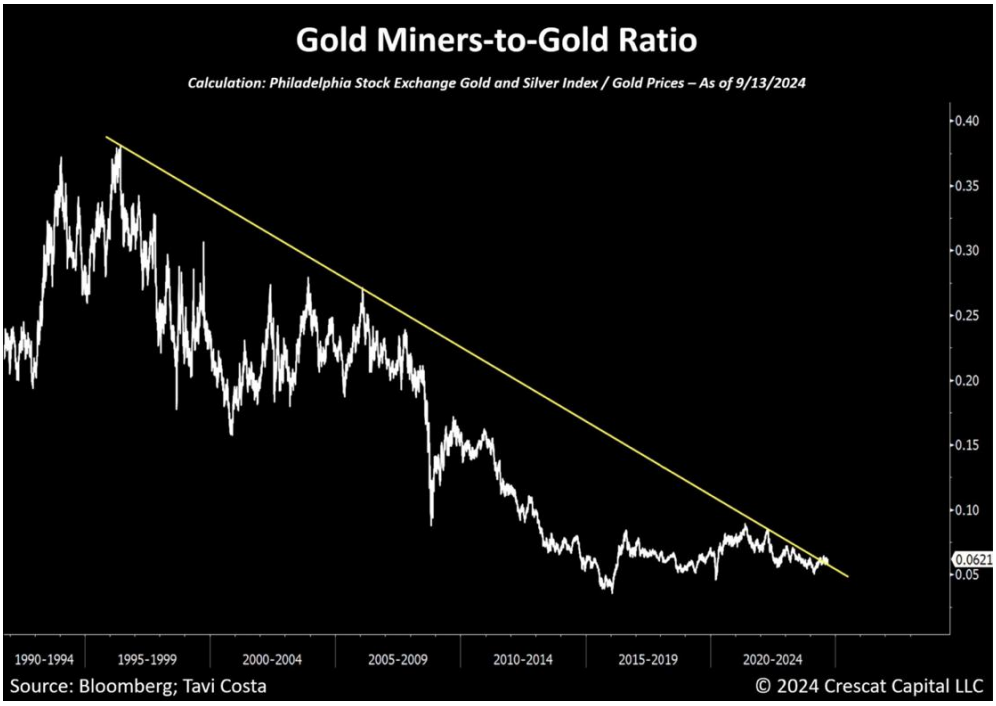
When you zoom out, the gold mining stocks vs. Gold bullion on a ratio basis are still at fairly depressed levels. The next chart is a ratio of the GDX Gold Miners ETF to the price of the metal. Note how we have lived below long-term historical averages. We believe this will mean revert.



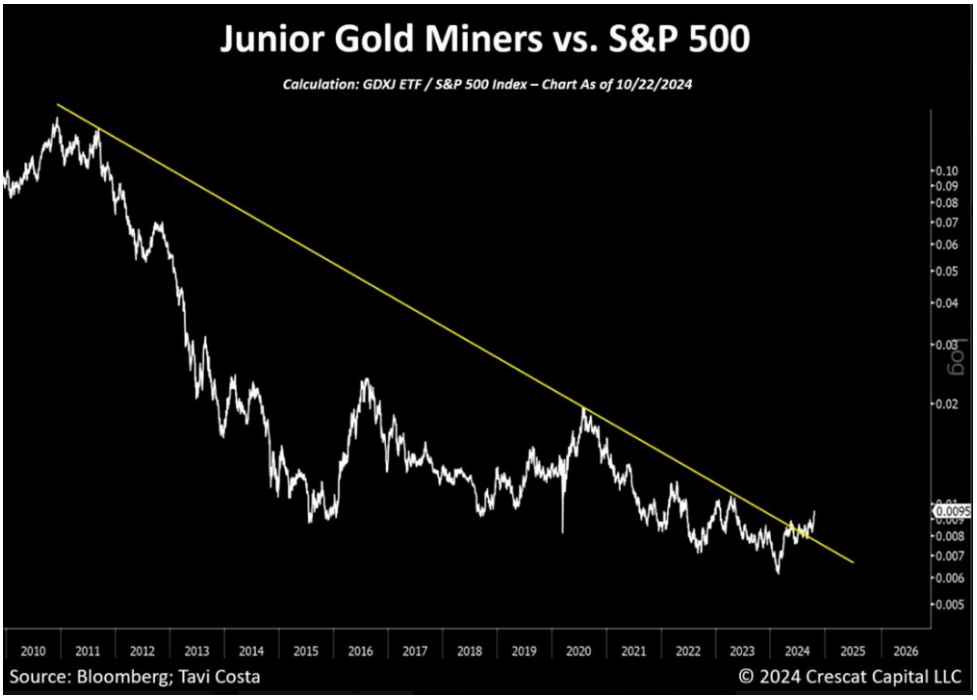
And finally, we think that it is useful to look at the XAU Gold Stock mining index vs. the S&P 500. Note how poorly gold stocks did compared to the S&P from 1984-2000. The new era of monetary debasement began in 2000 and gold stocks did somewhat better from 2000-2011, but then a new credit cycle started, and the gold price corrected from $1,900 to $1,050. Since 2015, gold stocks have flat lined vs. the S&P. But if you look carefully, you will see that they just broke out. We believe this breakout is very meaningful, and it is fresh and has a long way to run. This chart screams: Sell the S&P 500 and buy gold stocks! We agree.



As the next chart clearly shows, the performance of the miners has trended down vs. gold for a long time. However, it now appears to be bumping up against and perhaps breaking through the downtrend line.



If a solid break-out takes place, the gold miners have a long way to go until they are at the mid-point of the valuation range. The next chart is another view of how the junior gold miners have underperformed the S&P 500 Index. However, it appears that the down trend line has also been broken. Stay tuned.



BITCOIN

Bitcoin had a volatile Q4 (down -23.5%) to finish calendar 2025 down -6.5%. Some of that decline was due to unwinding of leverage in the crypto space, but much of it was due to Gold and Silver's resurgence globally as the sound money of choice.

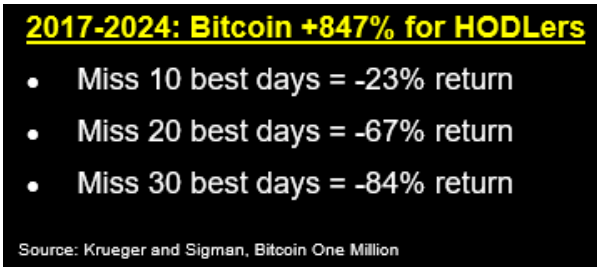
Make no mistake, despite its volatility, Bitcoin is sound money. Gold has been a store of value for 5,000 years due to its scarcity – it's hard to find and Gold's supply has grown in-line with human population growth (~2% / year). Bitcoin is simply digital Gold but even scarcer given the 21 million limit on Bitcoin and nearly 20 million of those have already been mined. Bitcoin's supply growth is < 1% / year.

As the chart below shows, Gold and Bitcoin are generally correlated. For example, from mid-2019 to mid-2020, Gold anticipated monetary debasement and trended higher. Then, notice how Bitcoin lagged, but then picked up in the Fall of 2020 before then far surpassing Gold's move. Because Bitcoin is undergoing an adoption curve and is therefore a more volatile form of sound money, it tends to accentuate Gold's move up or down. Our view is that the current Gold move is extremely bullish for Bitcoin, but there will be a lag as there has been in the past.

In the short run, Bitcoin, like any asset, can trade anywhere. However, as debasement continues to persist, and more assets flow into sound money, demand for Bitcoin will grow. As the monetary reset happens (whether gradually or suddenly), not only will individuals and institutions desire Bitcoin, but all governments will also need to have Gold and or Bitcoin to be able to finance themselves. (i.e., if no one

trusts a fiat currency, they won't buy any country's Treasury Bonds. Unless, those T-Bonds are backed by a hard asset like Gold or Bitcoin. That is where the puck will be going in time). See this caption below:

You have to be patient and buy and hold it. Be a long term investor not a trader of it. As Fred Kreuger has pointed out, if you trade around the asset you may miss Bitcoin's best days in a bull market. Over the long run, missing those best days can dramatically impact your returns in Bitcoin. (e.g., from 2017-2024, Bitcoin was up +847%. However, if you missed the 10 best up days in Bitcoin – your return over that 7 year period would have been NEGATIVE -23%!!



CONCLUSION

Well, we achieved overnight success in 2025 after waiting for 20 years for the monetary system to begin collapsing. Maybe we are just a broken clock right twice a day, but at a fundamental level we do not think so. It is sad to see our monetary system fail but it has seemed inevitable to us for quite some time.

Through the past 5 years, and in the decades before that, the toughest part of investing in this thesis was to hold on knowing that math would eventually force this outcome. Now, we believe that the toughest part will be to continue holding and not sell too early. People ask us how high the metals can go? We

cannot really answer the question. Why? Well, the precious metals have no upper boundary on price because fiat currency has no lower boundary on value. We are not saying hyperinflation is our base case. It is not. But it has entered the room and the discussion.

As Fed Governor Neal Kashkari said "there is an infinite amount of cash at the Federal Reserve".

The path from here will depend upon many factors including government policy steps. We cannot forecast all of the twists and turns and ups and downs, but we are confident that the strong trend of precious metals prices is up and to the right. We have said many times that it feels like the second or third inning to us.

Thank you all for your support over the years. We will continue to do our best to try to grow and protect your and our capital.

Best,

Larry and David

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